

Seoul City Gas Co., Ltd.

KOSPI: 017390 · Regulated city-gas distribution · South Korea

Deep value / negative-EV special situation — **asset-rich, governance-trapped**

SNAPSHOT	as of Aug 2026
Ticker	017390 KS
Share price (approx.)	₩55,000–65,000
Market cap	≈ ₩0.27 tn (~US\$195m)
Book equity (consol.)	₩1,121 bn
Price / Book	≈ 0.24×
Trailing P/E	≈ 9×
Cash & ST instruments	≈ ₩646 bn
Net cash	≈ ₩590 bn (>2× cap)
Enterprise value	negative (≈ -₩0.3 tn)
ROE / ROIC	≈ 2.7% / ≈ 0.3%
FY25 revenue	₩1,828 bn (+9.9%)
FY25 operating profit	₩17.4 bn (turnaround)
FY25 net income	₩31.0 bn (-9.7%)
FY25 DPS / yield	₩2,750 / ≈ 4.3%
Payout ratio	≈ 35%
From Apr-2023 high	≈ -87% (₩504,000)

The one-paragraph thesis

Seoul City Gas is not really a utility you value on earnings — it is a **closed-end pool of cash and real estate wrapped around a break-even regulated pipe network**, controlled by a founding family. It trades at **~0.24× book** with **net cash worth more than 2× its entire market capitalisation** (enterprise value is negative). The bull case is a textbook deep-value / Korea Value-up re-rating. The bear case — and the reason the discount has persisted for years — is that the same family that sits on the cash has a documented history of routing value to its private vehicles. This is a **governance-discount stock, not a broken-balance-sheet stock**. You are paid ~4% to wait, with an asset floor, for a catalyst that is no longer purely at the family's discretion.

1 · What you are actually buying

Seoul City Gas is Korea's **#2 city-gas distributor** (~7.8% of national throughput, behind Samchully), holding the exclusive licence to distribute piped natural gas to households and businesses across western / south-western Seoul and parts of Gyeonggi. City-gas distribution is ~98–99% of revenue. The retail **supply margin is set by the Seoul Metropolitan Government** on a regulated total-cost (cost-plus) basis; the LNG raw-material cost bought from KOGAS is passed through to customers with a lag under the raw-material-cost linkage system. The distributor therefore bears **volume risk and cost-recovery timing risk, but not long-run commodity price risk**. A shrinking overseas resource-development arm, real-estate rental and minor units round out the group.

The tell in the financials: FY25 group revenue was ₩1,828 bn but **operating profit was only ₩17.4 bn (0.95% margin)**, after two consecutive years (2023–24) of operating **losses**. Yet net income was ₩31.0 bn — i.e.

reported profit is driven by non-operating items: interest income on the cash hoard, equity-method income and periodic asset-sale gains. Strip those out and the core regulated business barely earns its keep. That single fact reframes the entire analysis.

2 · The bull case

2.1 A genuine, legally-protected moat

City-gas distribution is a **natural monopoly with a regulatory moat**. Licences are exclusive by territory; no rival may lay overlapping pipe. Demand (heating, hot water, cooking) is essential and price-inelastic. The regulated cost-plus mechanism provides return-of-and-on the rate base, insulating the franchise from commodity swings over a full cycle. Barriers to entry — regulatory, capital and network density — are close to absolute. A durable, defensible franchise, not a fad.

2.2 A fortress balance sheet — you are paid to own the operating business

Cash and short-term instruments of ~~₩~~646 bn against trivial debt ($D/E \approx 0.05$) leave **net cash of ~~₩~~590 bn — more than 2× the entire market capitalisation**. Enterprise value is negative. Book equity of ~~₩~~1,121 bn is ~4× the market cap, and that book is understated: the gas network, land and investment property carry at historical cost. On an asset basis the downside appears floored; you acquire the monopoly cash flows, the real estate and the resource stakes for **less than the value of the cash inside the company**.

2.3 The Value-up catalyst — a real secular tailwind

Seoul City Gas is a poster child for the exact cohort Korea's **Corporate Value-up Program** is designed to unstick: low-PBR, over-capitalised, family-controlled. Three policy vectors now push the same way — (i) the Value-up disclosure regime pressing boards to publish concrete ROE / payout / cancellation targets; (ii) the 2025 Commercial Act reform **expanding directors' fiduciary duty to all shareholders**; and (iii) dividend-income **separate taxation** that lowers the tax cost of paying dividends. Comparable low-PBR names that published credible Value-up plans have re-rated double-digits on announcement. The optionality here is large and cheaply priced.

2.4 A capital-allocation lever of enormous mechanical leverage

Because the discount is so wide, **even a modest change in policy is transformational**. A special dividend, a NAV-linked distribution, or a buyback-and-cancellation of treasury stock would compound intrinsic value per share directly against a 0.24× starting point. The FY25 dividend already rose to ~~₩~~2,750. The entire thesis is the gap between what the company *could* distribute (it is drowning in cash) and the ~35% of a depressed earnings number it currently pays.

2.5 Under-appreciated earnings-normalisation optionality

After two years of regulated under-recovery, the FY25 swing to a ~~₩~~17.4 bn operating profit is early evidence that the **supply-cost margin can catch up** as the Seoul tariff resets and the raw-material lag unwinds. Layered on top, the ~~₩~~600 bn+ cash balance means each incremental point of yield is a few billion won of pre-tax income. In a normalised-margin, steady-rate world the same assets could plausibly earn multiples of FY25 EBIT.

3 · The bear case — three ways this is permanently impaired

Why the discount exists

A 0.24× book multiple on a company with 2×-market-cap net cash is not a market oversight — it is a **priced-in verdict on who controls the cash and whether minorities will ever see it.**

Risk 1 · Controlling-family expropriation (the reason to worry)

Control runs **Chairman Kim Young-min (b. 1945)** → **Seoul City Development (26.25%, ~98% Kim-owned)** → **Seoul City Gas** → **affiliates**, with Daesung Holdings a further 22.60% — roughly half the register is family / affiliate-aligned. Korean governance reporting documents a persistent pattern of **related-party "work-funnelling" (일감 몰아주기)**: the family's privately-held vehicle (Seoul Development) has posted record profits for seven consecutive years **while the listed parent ran operating losses** — widely read as succession-driven propping of the heir's company. The implication is blunt: the balance-sheet cash is controlled by a family with a demonstrated preference for retaining or redirecting value. If minorities never get the cash, the NAV is a mirage and the discount is the correct price. This is a **structural, not cyclical, impairment of value realisation.**

Risk 2 · Structural volume decline — the core is a melting ice cube

Regulated margin is throughput-linked, and throughput faces **secular decline**: warmer winters (management itself cites global warming as a demand constraint), building-efficiency gains, direct competition from district energy (집단 에너지) and — over the long arc — electrification and heat-pump substitution under Korea's 2050 net-zero path. Seoul is a mature, ex-growth service territory. As volumes erode, the rate base and the margin it supports erode with them. There is no offsetting growth engine: the overseas resource-development arm's revenue has roughly **halved and is described as near-collapse**, and the company **disbanded its R&D organisation in 2019 with zero R&D spend since**. A run-off franchise, not a compounder.

Risk 3 · Structurally sub-cost-of-capital returns with no pricing power

ROE is ~2.7% and ROIC ~0.3% — the company earns **far below any reasonable cost of capital** on an enormous equity base, because the productive business is a politically-capped, cost-plus margin set by a municipal government while the majority of the balance sheet sits in low-yielding cash. Two consecutive years of operating losses show the regulated margin does not reliably cover cost through the raw-material-lag cycle. A business that compounds book value at ~2–3% **destroys value in real terms every year the cash is hoarded** — the low multiple is arithmetically justified unless the capital is redeployed or returned.

4 · Pre-mortem — it is 2029 and the position lost money. Why?

Assume the thesis failed. The most probable narrative, ranked by likelihood:

1. **Value-up was theatre for controlled names.** The family used its ~49% aligned bloc to publish a box-ticking plan and reject any distribution large enough to matter. Cash kept compounding at ~2% while value leaked out through related-party dealing and compensation. Activists could not move an entrenched majority.
2. **The ice cube melted faster than the tariff healed.** Warm winters and electrification cut volumes; municipal margin resets lagged; operating losses recurred. The "utility" earned essentially nothing from operations.

3. **Rate cuts hollowed out the only real earnings source.** Bank-of-Korea easing collapsed interest income — the actual driver of net profit — so EPS fell and the ~9× P/E was revealed to be expensive on trough-quality earnings.
4. **The discount never closed because nothing forced it to.** Absent a catalyst, the market kept applying a rational holdco / governance discount to trapped NAV. The classic value-trap outcome: cheap got cheaper and low-ROE time-decay compounded against holders.
5. **Liquidity cut both ways.** A thin float (recall the ₩504k 2023 spike and ~87% collapse) meant the stock stayed prone to speculative dislocation rather than a fundamentals-driven re-rating — painful to hold, hard to size.

The unifying lesson: with a controlled, low-ROE asset play, **the catalyst — not the cheapness — is the whole investment.** Buy the discount without a credible path to closing it and you have bought a value trap with a coupon.

5 · Are the multiples too high?

The question inverts the usual one. On **assets**, nothing here is expensive: 0.24× book, negative EV, net cash > 2× market cap. On **earnings power and returns**, the picture is very different — and arguably not cheap at all:

- A ~9× P/E on earnings that are mostly interest income is not cheap for a no-growth, rate-sensitive, non-operating income stream. Strip out financial and one-off income and the **regulated business trades at a very high multiple of its near-zero / negative EBIT**.
- A 0.24× P/B on a ~2.7% ROE is close to **internally consistent**: it implies the market demands ~11% on the equity actually working ($2.7\% \div 0.24$). A sub-cost-of-capital compounder *deserves* a deep book discount — the multiple is not obviously wrong.
- **The correct lens is NAV / sum-of-the-parts**. Liquidation-style NAV per share is a large multiple of the price, dominated by cash + real estate. But realisable value depends entirely on governance, so the market applies a **50–70% controlled-company / holdco discount to NAV** — which is exactly the observed ~0.24×.

Valuation verdict

Not overvalued on assets; fairly-to-cheaply valued on trapped-NAV; potentially overvalued on normalised earnings power if rates fall. **This is a governance-discount stock, not a multiple-expansion stock — the multiple only "re-rates" if a catalyst converts trapped NAV into distributable NAV.**

6 · The contrarian view — what the market refuses to see

Consensus holds two lazy positions: to growth investors it is an un-ownable, ex-growth utility; to value investors it is a perennial trap to admire from a distance. Both **anchor on twenty years of a family that never shared the cash and extrapolate that forever**. The non-consensus insight is that the single variable that has always capped the stock — the family's grip on the cash — is precisely the variable now under structural attack, and from an unexpected direction:

The point the market is mispricing

The controlling family is the largest dividend recipient. Korea's dividend-income separate-taxation reform sharply lowers the after-tax cost of paying dividends — for the family itself. The same self-interest that historically *trapped* the cash can, under the new tax regime, become the trigger to *release* it. Paired with the 2025 Commercial Act's expansion of fiduciary duty to all shareholders, a payout decision is — for the first time — **no longer purely discretionary**.

Reframed as a trade, the asymmetry is the attraction: you are **paid ~4% to wait**, with an asset / net-cash floor beneath you, holding a **cheap option on a Korean-governance regime change** whose payoff — a special dividend, treasury-stock cancellation, or NAV-linked distribution — is measured against a 0.24× book starting point. The market prices the option near zero because it has been burned by this family before.

Intellectual honesty demands the counter-weight: this is a **low-probability, family-dependent catalyst**, and controlling shareholders can comply with Value-up in form while defeating it in substance. The correct contrarian statement is therefore not "the re-rating is imminent" but **"the option is mispriced."** Size it as an asymmetric,

catalyst-contingent special situation — not a core utility holding — and let the balance-sheet floor and the coupon do the waiting.

7 · Analyst verdict & what would change the mind

Would make me a buyer (long the option)	Would keep me away (value trap confirmed)
A credible, quantified Value-up plan with a NAV-linked payout or treasury-stock cancellation	A new / larger related-party transaction or a capital raise for an affiliate — value continuing to leak to the family
Evidence the municipal supply margin is resetting higher, turning operations durably EBIT-positive	Renewed operating losses as volumes fall faster than tariff catch-up
Activist / institutional pressure on the register, or family dividend behaviour shifting post tax-reform	BOK easing that guts interest income — the real earnings source — with no operating offset

Bottom line: a high-quality *balance sheet* attached to a low-quality *business* and a *contested* ownership structure. It is genuinely cheap on assets and genuinely stuck on governance. As a **core holding it is a value trap**; as a **small, catalyst-contingent special-situation option on Korean governance reform, the risk/reward is asymmetric and interesting**. Conviction should scale with the credibility of the catalyst, not the depth of the discount.

Selected sources & notes: Company disclosures via KRX KIND / DART; FY2025 results and dividend disclosures (DigitalToday, Nate/Yonhap); StockAnalysis.com, Yahoo Finance, Investing.com, TradingView, FnGuide (valuation, cash, ROE, dividend history); Korean governance reporting (BizWatch/Governance Watch, Business Post, Daum) on ownership and related-party transactions; Korea Corporate Value-up Program and 2025 Commercial Act commentary. Figures are approximate, drawn from public secondary sources, and rounded; share-count and daily price vary by source and date.

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